

21BBCP00269 21BBCP00269

County: los-angeles

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Case Number: 21BBCP00269 Hearing Date: August 7, 2026 Dept: A

TENTATIVE RULING

AUGUST 7, 2026

(CONTINUED FROM JUNE 26, 2026)

MOTION TO AMEND JUDGMENT

Los

Angeles Superior Court Case # 21BBCP00269

MP: Plaintiff Swift Financial, LLC as servicing agent for WebBank

RP: No opposition received

NOTICE:

The Court

is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at or by telephone at (818)

260-8412.

ALLEGATIONS AND RELEVANT

BACKGROUND:

On June

30, 2021, Swift Financial, LLC as servicing agent for WebBank ("Petitioner/Plaintiff") filed a Petition to Confirm Contractual Arbitration Award against Elit Auto Group, Inc. and Karlen Malkhasyan ("Respondents/Defendants"). On August 20, 2021, the Court granted the unopposed petition.

On August

25, 2021, the Judgment on Petition to Confirm Arbitration Award ("Judgment") was entered. Judgment was entered in favor of Plaintiff and against Defendants, jointly and severally, in the total amount of \$122,256.03, which consisted of \$117,275.82 for the arbitration award and \$4,980.21 in prejudgment interest at the rate of 10% per annum from March 18, 2021 to the date of entry of judgment.

MOTION

ON CALENDAR:

On March

20, 2026, Plaintiff filed a Motion to Amend Judgment Pursuant to C.C.P. § 187 or in the Alternative to Amend the Judgment to Add Non-Party Elit Los Angeles, as an Alter Ego/Successor.

On June

26, 2026, the Court continued the hearing on the motion to August 7, 2026, and ordered Plaintiff to file and serve a supplemental brief/declaration (not to exceed seven pages) by July 20, 2026.

The Court ordered the opposition to be filed and served by July 27, 2026 and the reply to be filed and served by July 31, 2026.

The Court

is not in receipt of an opposition brief.

The Court notes that, pursuant to C.R.C. Rule 8.54(c), a failure to oppose a motion may be deemed consent to its being granted.

LEGAL STANDARD:

C.C.P. § 187 states: "When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code."

Section

187 "grants to every court power to use all means to carry its jurisdiction into effect, even if those means are not specifically pointed out in the code. [Citation.] It is now settled that '... the authority of the court will be exercised to impose liability under a judgment upon the alter ego who has had control of the litigation.' [Citation.]" (Jack Farenbaugh & Son v. Belmont Construction, Inc. (1987) 194 Cal.App.3d 1023, 1028–1029 [citation and footnote omitted]; see Greenspan v. LADT, LLC (2010) 191 Cal.App.4th 486, 508 ["Judgments may be amended to add additional judgment debtors on the ground that a person or entity is the alter ego of the original judgment debtor...."].) This is an equitable procedure based on the theory that the Court is not amending the judgment to add a new defendant but is merely inserting the correct name of the real defendant. (McClellan v. Northridge Park Townhome Owners Association (2001) 89 Cal. App. 4th 746, 752 [permitting a plaintiff to add the individual who was the alter ego of a judgment debtor corporation].) This procedure permits the Court to make the judgment "speak the truth" as to the true names of the defendant. (Jack Farenbaugh, supra, 194 Cal.App.3d at 1029.)

"The ability under section 187 to amend a judgment to add a defendant, thereby imposing liability on the new defendant without trial, requires both (1) that the new party be the alter ego of the old party and (2) that the new party had controlled the litigation, thereby having had the opportunity to litigate, in order to satisfy due process concerns." (Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc. (2013) 217 Cal.App.4th 1096, 1106.)

"In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not

in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. [Citation.]” (Cam-Carson, LLC v. Carson Reclamation Authority (2022) 82 Cal.App.5th 535, 549 [internal quotation marks and citations omitted].) “Alter ego liability is not limited to the parent-subsidary corporate relationship; rather, under the single-enterprise rule, liability can [also] be found between sister [or affiliated] companies.” (Id. at 550.)

“[A] successor company has liability for a predecessor's actions if: (1) the successor expressly or impliedly agrees to assume the subject liabilities [...], (2) the transaction amounts to a consolidation or merger of the successor and the predecessor, (3) the successor is a mere continuation of the predecessor, or (4) the transfer of assets to the successor is for the fraudulent purpose of escaping liability for the predecessor's debts.” (CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1120.)

ANALYSIS:

Plaintiff seeks to amend the Judgment—originally entered against Elit Auto Group, Inc. (“EAG”) and Karlen Malkhasyan—to include non-party Elit Los Angeles (“ELA”) as the alter ego or successor in interest of EAG.

Plaintiff's

counsel, Daren M. Schlechter, states that the California Secretary of State records show that EAG was registered on January 25, 2016, Karlen Malkhasyan is the owner and manager of EAG, EAG is designated as a “Retail Automotive Dealership,” and EAG is operated at 19420 Business Center Dr., Suite 100 in Northridge. (Schlechter Decl., ¶¶6-7, Exs. A-B [EAG's March 10, 2021 and May 18, 2022 Secretary of State filings].) EAG is currently inactive and was suspended by the Franchise Tax Board in 2024. (Id., ¶8, Ex. C.)

Mr.

Schlechter states that on April 20, 2020, ELA was created by Vahag Malkhasyan, Edgar Antonyan was identified as the CEO, its address was 19420 Business Center Dr., Suite 100 (the address later switched to 14310 Victory Blvd. in Van Nuys in 2026), and ELA was designated as a “Retail Automotive Dealership.” (Id., ¶¶10-11, Exs. D-E [ELA's April 2, 2020 and February 16, 2026 Secretary of State filings].) Mr. Schlechter states that according to LinkedIn, Karlen Malkhasyan identifies himself as ELA's CEO. (Id., ¶¶12-13, Ex. F.)

On

February 26, 2026, Plaintiff's counsel served on Zelle (a mobile application to transfer funds between bank accounts) a Subpoena for Judgment Debtor Karlen Malkhasyan's transactional history and received responsive documents on March 16, 2026, showing transactions between Karlen Malkhasyan and ELA from 2022 to the present. (Id., ¶¶14-17, Ex.

G.) Mr. Schlechter states that the logos

for EAG and ELA are identical in color, shape, and usage to promote both auto businesses. (Id., ¶¶18-19, Ex.

H.) (The Court notes that the EAG logo

appeared to be comprised solely of a red circle with a tilted "E," whereas the ELA logo includes the same image but with "ELIT LOS ANGELES" written to the right of the circle image.)

Plaintiff

argues that based on when the loan agreement was entered (March 4, 2020), ELA was formed (April 2, 2020), Defendants defaulted (June 2020), and Judgment was entered (August 25, 2021), it believes that Karlen Malkhasyan created ELA to evade payment to Plaintiff as he continues to operate a new entity. (Schlechter Decl., ¶¶2-4, 10, 20-22.)

Plaintiff

argues that the Court should apply the alter ego doctrine between EAG and ELA because: (1) Karlen Malkhasyan controls both EAG and ELA; (2) the interest between EAG and ELA are identical as they have the same/similar names, are in the same industry/line of business, have the same logo, and are/were located at the same address; (3) an inequitable result would occur if ELA was not added as an alter ego because Defendants could avoid payment to Plaintiff and continue to operate their business under a new name (even if the Secretary of State documents indicate a different CEO, which Plaintiff asserts was Karlen Malkhasyan's attempt to evade service and enforcement of the Judgment); and (4) Plaintiff did not discover the extent of the relationship between EAG and ELA until after ELA was created in April 2020 and Plaintiff began further investigation. (Mot. at pp.6-7.) It also argues that successor liability applies for the same reasons. (See id. at pp.7-8.)

The Court

continued the hearing on the motion (initially scheduled for June 26, 2026), requesting further briefing. The Court

previously found that Plaintiff had partially upheld its burden in showing alter ego liability and/or successor company liability by establishing that an inequitable result would occur if ELA were treated as a separate corporation from Defendants, but Plaintiff had not fully established that there is a unity of interest between the EAG, ELA, and Karlen Malkhasyan. Specifically, the Court noted that: "There may be some similarities between the entities and the timing of ELA's formation may be suspect, but without more, the Court cannot ascertain whether there is such a unity of interest where there is no separation between Defendants and ELA. Similarly, with respect to ELA being the successor in interest to EAG, Plaintiff has not shown that ELA expressly or impliedly agreed to assume EAG's liabilities, their transactions that amounted to a consolidation or merger of the entities, or that there were indeed any transfer of assets to avoid judgment." (June 26, 2026 Minute Order at pp.4-5.)

In its supplemental brief, Plaintiff provides the California Secretary of State filings showing that Malkhasyan still controls EAG; EAG was suspended by the FTB in 2024; Malkhasyan was CEO/CFO, a director, and agent for service of process for ELA by the December 17, 2024 filing; and ELA omitted Malkhasyan by the February 20, 2025 filing. (Pl.'s Further Brief at Exs. 1, 4-6.) (Some of these documents were already submitted with the motion papers.)

Plaintiff also provides EAG and Malkhasyan's bank statements showing that ELA made multiple transfers (deposits and withdrawals) from \$5.00 to \$20.00 from February 2023 to August 2023 (Pl.'s Further Brief at Exs. 2-3.) It provides numerous Zelle transactions showing transfers between Malkhasyan and ELA from August 23, 2022 to March 16, 2026. (Id., Ex. 7.)

Plaintiff argues that considering the evidence together, Plaintiff can show that Malkhasyan owned and controlled EAG and ELA since 2024, Malkhasyan slowly moved funds/assets from EAG to ELA from and after 2023, and Malkhasyan caused EAG's status to be FTB suspended while controlling and operating ELA. Plaintiff contends that Malkhasyan was "surreptitiously" removed from ELA's corporate filings, but the records show that he has systemic transfers between Malkhasyan and ELA.

Plaintiff's evidence shows a commingling of funds and assets between Malkhasyan, EAG, and

ELA and that while Malkhasyan removed himself from ELA's corporate filings, he still regularly receives from and/or transfers funds to ELA. The Court finds that based on Plaintiff's showing, it has established a unity of interest between EAG, ELA, and Malkhasyan such that the Court will include ELA as the alter ego of EAG.

Plaintiff's

motion and supplemental brief were served on EAG, Karlen Malkhasyan, and ELA. Despite the continuance and two opportunities to oppose the motion, neither Defendants nor ELA opposed the motion or provided any contrary evidence that EAG and ELA are separate entities, are not alter egos of the other, or are not successor corporations.

For these reasons, the motion is granted.

RULING:

In the event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Plaintiff

Swift Financial, LLC as servicing agent for WebBank's Motion to Amend the Judgment came on regularly for hearing on August 7, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

The Motion to AMEND THE JUDGMENT OR IN THE ALTERNATIVE TO AMEND THE JUDGMENT TO ADD NON-PARTY ELIT LOS ANGELES AS AN ALTER EGO/SUCCESSOR IS GRANTED.

PLAINTIFF

TO GIVE NOTICE.

IT IS SO
ORDERED.